

Past Paper 2021

Answer The following

(i)

Business:-

Any legal activity undertaken or performed for the purpose of earning profit is called business

Characteristics:

- / Good and services
- / Profit Motive
- / Capital
- / Employment
- / Management
- / Element of Risk

(ii)

Rights of Partner:-

The right of partners are.

- / Right of Profit
- / Right of Opinion
- / Nature of Business
- / Right of Retirement
- / Right of Management
- / Right of Admission

(iii)

Limited Liability :-

"when one or more business owner or partners are liable for their company's debt and Tax compliance"

Example:

Sole Tradership is the example of unlimited liability

(iv)

Marketing :-

"The systematic sequence of step undertaken to identify create, communicate and deliver value to customer."

Importance:

- Essential for Product success
- Involves Product, place & promotion price.

(v)

Prospectus:

"It is a document advertized by company for raising the capital. In this the general public is invited to purchase the share."

→ All attested copy of prospectus should be submitted to registration office. It also contains the date of issue.

(vi)

Vertical Business Combination

"vertical Business Combination takes place when various departments of large industrial units combine together under single management"

→ Common examples are software, healthcare, retail business.

(vii)

channel of Distribution:

"The chain of Business through which the final buyer purchases good or services"

4 channel of Distribution

The four channel of Distribution are

Manufacturer → wholesaler → Retailer → Customer

PUACP
(viii)

Cooperative Society

"The society is that form of organization where persons voluntarily associates together as human beings on the basis of equality for the promotion of Economic Interest of Themselves."

Features:

- ✓ Membership
- ✓ Capital
- ✓ Management
- ✓ One Vote
- ✓ Motive
- ✓ Transfer of share

(ix)

Special Resolution:-

"The resolution which is passed by $\frac{3}{4}$ of majority of The shareholders is called Special Resolution"

→ A 21 day notice along with a copy of resolution must be send To member each

(x)

Stock Exchange:-

Stock Exchange is a market where share of different

companies are Trading Just like any other market like Fruit or cloth market

→ This market will be treated as market for exchange of shares.

→ Here a person can sale or purchase of new or old share.

Question no 2:-

1- what are The advantages of sole Tradership?

Defination:

Simplest form of business which is owned and controlled by one person.

Example:

(i) Retailer

(ii) Painter

(iii) Carpenter

(iv) Barber

Advantages:-

Advantages are:

(i) Easy Formation:

It is easy to form and very simple to run.

(ii) Personal Interest:

He has to take keen interest in the business because he is responsible for the profit or loss.

(iii) Quick Decision:

Sole trader make quick decision according to circumstances.

(iv) Freedom of Action:

In sole tradership the control and supervision remain in hands of one person

others are:

• Secrecy

• Easy Dissolution

• Easy Access

• Flexibility

• Easy Transfer

- 2- what are different modes in which a firm can be dissolved?

Defination: The dissolution of Partnership among all partners of firm is called dissolution of firm

1- without order of Court

Firm can be dissolved with The consent of all partners in accordance To partnership agreement

2- By notice :

Firm will dissolved.

by any partner giving a 14 days notice

3- Breach of Partnership Deed:

If any partner commits the breach of partnership Deed.

Insolvency:-

If any partner is adjudicated as insolvent then it is dissolved

Death of Partner:

The death of partner may end the partnership

Other :

- ✓ Contingent Dissolution
- ✓ Completion of work
- ✓ Expiry of Partner

By order of Court

(i) Insanity of Partner:

If partner has become of unsound mind then court dissolve it

(ii) Exploitation:

If any partner exploits the right of other partnership

(iii) Transfer of share:

If a partner transfer the whole share to third party with out consent of other partner

(iv) Misconduct of Partner

Due To misconduct of partner court may dissolve the firm

- Incapability of Partner
- By Breach of Partnership Act.
- Continuous Law
- Misuse of Power.

3- Define private Company? what are its characteristics?

Defination: Type of business entity that is privately owned either by individual or group

→ Single Member private Company:

A single member private company is company with only one member or director.

Characteristics

→ There is only one member or shareholder

→ The company uses the word (S.M.C private Ltd) after its name.

→ The sole or single member is responsible for management of Company.

→ The share of the Company are non transferable

→ The liability is limited

→ Multi member Private Company.

→ In this Company minimum member is Two or

DAY: _____

DATE: _____

maximum is fifty

→ Maximum number of directors is Two

→ The company uses private "with" his name

→ The liability of the members shareholders is limited

→ Maximum number of promoters is Two

Example:

Tapal (Pvt) Ltd.